IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.P (CAA) No. 77/BB/2017
U/S 230 to 232 of the Companies Act, 2013
Order Delivered on: 6th March, 2018

IN THE MATTER OF SCHEME OF AMALGAMATION
BETWEEN
MPORTAL (INDIA) WIRELESS SOLUTIONS PRIVATE LIMITED
AND
TRANSERA COMMUNICATIONS PRIVATE LIMITED

Coram: 1. Hon'ble Shri RatakondaMurali, Member (Judicial)
2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

mPORTAL (India) Wireless Solutions Private Limited
First, Second, Fourth Floors,
"Axis Sai Jyoti",
No.785, 15th Cross, 1st Phase,
J.P.Nagar, Bengaluru - **Petitioner Company No.1/Transferor Company No.1**

Transera Communications Private Limited
Ground Floor, "Axis Sai Jyothi"' No.785,
15th Cross, 1st Phase, J.P.Nagar,
Opp. The Big Market Bengaluru
Bandra Kurla Complex,
Bandra (East)
Mumbai-400052 - **Petitioner Company No.2/Transferor Company No.2**

Parties Present : 1) Mr. Perikal. K.Arjun
Advocate for the Petitioner Companies
2) Mrs. Sinchana M.R, Advocate
Representative for the Registrar of Companies & Regional Director

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical) – Author**

Heard on: 14.11.2017, 30.11.2017, 6.12.2017, 22.1.2018, 22.2.2018

ORDER

This Company Petition was filed on behalf of the Petitioner Company No.1 & Petitioner Company No.2 under Section 230 and 232 of the Companies Act, 2013 praying to order

for sanctioning the Scheme of Amalgamation whereby MPORTAL (INDIA) WIRELESS SOLUTIONS PRIVATE LIMITED (Petitioner Company No.1 / Transferor Company No.1) and TRANSERA COMMUNICATIONS PRIVATE LIMITED (Petitioner Company No.2/Transferor Company No.2) being merged with BROADSOFT TECHNOLOGIES PRIVATE LIMITED (Transferee Company) so has to be binding on all the Shareholders and the secured and unsecured creditors, employees and all other relevant parties of the Petitioner Company No.1/ Transferor Company No.1 and Petitioner Company No.2/Transferor Company No.2.

The averments made in the Company Petition are briefly described hereunder:-

The Petitioner Companies seeks an order for sanctioning the Scheme of Amalgamation of MPORTAL (INDIA) WIRELESS SOLUTIONS PRIVATE LIMITED (Petitioner Company No.1 / Transferor Company No.1) and TRANSERA COMMUNICATIONS PRIVATE LIMITED (Petitioner Company No.2/Transferor Company No.2) with BROADSOFT TECHNOLOGIES PRIVATE LIMITED (Transferee Company).The Scheme of Amalgamation is shown as **Annexure A.**

The Petitioner Company No.1 / Transferor Company No.1 was incorporated on 12th October, 2003 under the name and style as **'mPortal (India) Wireless Solutions Private Limited'** having its Registered office at First, Second, Fourth Floors, "Axis Sai Jyoti", No.785, 15th Cross, 1st Phase, J.P.Nagar, Bengaluru and obtained Certificate of Incorporation vide bearing CIN No. **U72300KA2003PTC032988.**

The Petitioner Company No.1/Transferor Company No.1 Objects as set out in its Memorandum of Association inter alia, as follows:

i.) To establish, design, develop, manufacture, publish, author, create, maintain, export, import, acquire, hold, deal in, distribute, exchange, buy, sell, transfer, gift commission, install, service, market, implement, advertise, manage, train, consult, placement, data conversion, data management, data analysis, data processing, data warehousing, leasing, hiring, acting as agents, consultants, processors, create knowledge base in, of all types and kinds of software, hardware and services, systems software products, information technology products in any arrears such as call centre, internet services, wireless messaging, telecom software, process engineering etc..

The Copy of the Memorandum & Articles of Association of the Petitioner Company No.1/Transferor Company No.1 is shown in **Annexure B.**

Authorized share capital of the Petitioner Company No.1 /Transferor Company No.1 as stated in the petition is Rs.1,00,000/- divided in to 10,000 equity share of Rs. 10/- each and issued subscribed and paid up share capital of Rs. 1,00,000/- divided in to 10,000 equity shares of Rs.10/- each fully paid up.

The Copy of Audited Financials of the Petitioner/ transferor company as on 31st March, 2017 and is shown in **Annexure D.**

The Petitioner Company No.2/Transferor Company No.2 was incorporated on 26th June, 2006 under the name and style as Transera Communications Private Limited. The Registered office of the Petitioner Company No.2 /Transferor Company No.2 is situated at Ground Floor, "Axis Sai Jyothi"' No.785, 15th Cross, 1st Phase, J.P.Nagar, Opp. The big Market Bengaluru.

The Petitioner/ 1stTransferor Company's Objects is, to to carry on all or any of the business of contract management solutions, computer consultants, analysts, specialists, writers, designers, devisers, outsourcers, organisers of and dealers in computer programmers and consultants in relation to the use of computers and data processing systems.

The Copy of Certificate of Incorporation, Memorandum & Articles of Association of the Petitioner Company No.2/ Transferor Company No.2 is shown in **Annexure E.**

Authorized share capital of the Petitioner Company No.2 /Transferor Company No.2 as stated in the petition is Rs.1,00,000/- divided in to 10,000 equity share of Rs, 10/- each and issued subscribed and paid up share capital of Rs. 1,00,000 divided in to 10,000 equity shares of Rs.10/- each fully paid up.

The Copy of Audited Financials of the Petitioner Company No.2 /Transferor Company No.2 as on 31stMarch, 2017 and is shown in **Annexure G.**

The Board of Directors of the Petitioner Company No.1 /Transferor Company No.1 and Petitioner Company No.2 /Transferor Company No.2 have approved and adopted the Scheme of Amalgamation at its meeting held on 24th March, 2017 and 28th March, 2017 respectively. The copies of Board Resolution are shown in **ANNEXURE – H, J.**

That the Petitioner Company No.1 /Transferor Company No.1 and Petitioner Company No.2 /Transferor Company No.2 had filed Company Application No.(CAA) 72/BB/2017 before this Tribunal for dispensing with the convening the meetings of Equity Shareholders and Creditors of the Applicant Company No.1 & 2. This Tribunal vide its

Order **dated 9th October, 2017** allowed the Company Application and directed to dispense with convening the meeting of Equity shareholders and Creditors of the Petitioner Companies. The Copy of the Order of this Tribunal in (CAA) No.72/BB/2017 is shown as **Annexure- M.**

This Tribunal vide order dated 6th December, 2017 directed the Petitioner Companies to issue Notice to Regional Director, Ministry of Corporate Affairs, South-East Region, Register of Companies, concerned Income Tax Department, Official Liquidator, and also to have an advertisement of Notice of Petition be carried out in the **'The Financial Express'**, an English daily Newspaper and **'UdayaVani'** a Kannada daily Newspaper and stating the next date of hearing 22nd January, 2018.

In pursuant to the same the Counsel for the Petitioner Companies has filed a affidavit **dated** of the authorized signatory of the 1st Petitioner Company for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in **'The Hindu'**, an English daily Newspaper and **'UdayaVani'** a Kannada daily Newspaper.

The Registrar of Companies, Karnataka, Bangalore vide letter no's. ROCB/ Legal/C.P.No.CAA/77/BB/2017 dated 19th February, 2018 wherein has made some observations which are as follows:

1. As per Clause No.11.1 & 11.2 of the Scheme, the Transferee Company shall issue one (1) equity share of Rs.10/- to the majority shareholder of Transferor Company No.1 and one (1) equity share of Rs.10/- to the majority shareholder of the Transferor Company no.2 which is unclear, in the absence of valuation report. Clarification in this regard is required from the petitioner companies.
2. Transferee Company does not have sufficient amount of authorized capital, hence it is required to increase its authorized capital to issue shares to the transferor company no.1 & 2.
3. There are no prosecutions, complaints, technical scrutiny & Inspections pending in this office on the petitioner companies.

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he Regional Director, Ministry of Corporate Affairs, South-East Region has filed affidavit dated 21st February, 2018 wherein has made some observations which are as follows:

1. This Directorate has issued letter to the Income Tax Department vide letter dated 28.12.2017. In response, It Department vide letter dated 10.1.2018 has informed that in the case of M/s.mPortal (India) Wireless Solutions Private Limited, an arrears of Rs.12,59,370/- plus interest under Section 220 og the Income tax act, 1961 for the assessment year 2011-12 is existing.
2. The appointed date proposed in the scheme is 1.4.2016 and that the scheme shall be effective from that date as per Sec.232(6) of the Companies Act, 2013.
3. M/s.Broadsoft Design Inc, USA is the Holding Company of both the Transferor Companies and any allotment of shares towards consideration under the Scheme requires compliance of FEMA.
4. The Petitioner Company has submitted a copy of Valuation report dated 13.11.2017 by M/s.ASA & Associates, LLP, Chartered Accountants justifying the Share Exchange Ratio.
5. A copy of the certificate dated 26.6.2017 from Price Waterhouse, LLP, Chartered Accountants is submitted certifying that the Accounting Treatment in the scheme is in compliance with the accounting standards.
6. Only one share each will be issued by the transferee company to the shareholders of Transferor Companies and hence post amalgamation, the authorized share capital of the Transferee Company would become Rs.13,00,000/- divided into 1,30,000 equity shares of Rs.10/- each.

The Authorized signatory of the Petitioner Company and has affidavit dated 23rd February, 2017 and stated that vide letter Ref.No.3/B/AMAL/841/RD(SER)/2017 dated 21st February, 2018 issued by the regional director, Ministry of Corporate Affairs, South East Region, Hyderabad has noted certain facts. In furtherance to the same, the following submissions are made:

1. For the Observation No.1: It is submitted that the arrears of Rs.12,59,370/- plus interest under Section 220 of the Income Tax Act, 1961 for Assessment Year 2011-12, if due and payable by the Transferor Company No.1 will become payable by the Transferee Company and Transferee Company undertakes to pay, if payable.
2. For the Observation No.2: The Appointed Date proposed in the scheme is 1.4.2016 and that the Scheme shall be effective from that date as per Section 232(6) of the Companies Act, 2013.
3. For the Observation No.3: The allotment of shares to the foreign shareholder of the Petitioner Companies shall be in compliance with Section 9 of Foreign Exchange Management (Transfer or Issue of Security by a Person Resident outside India) Regulations, 2017 and intimation/reporting as per the FEMA regulations will be made upon allotment of shares.
4. For the observation No.4: A copy of Certificate from Price Waterhouse, LLP, Chartered Accountants certifying that the Accounting Treatment in the scheme is in compliance with the Accounting standards has been filed with this Hon'ble Tribunal on July 1, 2017.
5. For Observation No.5: Pursuant to Clause 12 of the scheme of amalgamation, the authorized share capital of the Transferee Company will be increased by the authorized share capital of the Transferor Companies (comprising of authorized share capital of Transferor Company No.1 of Rs.10,00,000/-) and authorized share capital of the Transferee Company will be Rs.13,00,000/- (Rupees Thirteen lakhs only) divided into 1,30,000(One Lakh Thirty Thousand) equity shares of Rs.10/- (Rupees Ten Only). Since only 2 shares are proposed to be issued pursuant to the scheme, The Authorized Share Capital is sufficient to allot all the shares in terms of the scheme, the Authorized Share Capital is sufficient to allot all the shares in terms of the scheme.

On the prayer made by the Official Liquidator in OLR no. 7/18 in CP (CAA) 77/BB/2017, vide order dated 22.1.2018 M/s. C.Ramadurai, Chartered Accountants was appointed by this Tribunal to scrutinize the Books of Accounts and records of Petitioner/Transferor Company. Upon Scrutiny of Books, records and other material made available by the Transferor Company to M/s. C.Ramadurai, Chartered Accountants.

Pursuant to the same, the Official Liquidator has filed a Report dated 29.11.2017 in OLR.No.191/17stating that M/s.C.Ramadurai, Chartered Accountants has submitted Report dated 7.2.2018 which is marked as **Annexure A & B,** wherein the Chartered Accountant has concluded in his report that:

i.) "We have obtained all the information and explanation, which to the best our knowledge and belief were necessary for the purpose of scrutiny of books and papers of Transferor Company.

ii.) In our opinion proper books of accounts, papers, statutory registers, minutes and other related records as required by law have been kept by the Transferor Company so far as appears from our examinations".

iii.) On scrutiny of books of accounts, papers, statutory registers and other related records of the company we are of the opinion that the affairs of the company have not been conducted in a manner prejudicial to the interest of the members of the Company or public interest as per section 232 of the Companies Act, 2013.

Thus relying on the Report dated 7.2.2018 of M/s.C.Ramadurai, Chartered Accountants, the Official Liquidator is of the Opinion that the Affairs of the Transferor Companies have not been conducted in a manner prejudicial to the interests of the members of the Companies or Public interest.

The Counsel for the Petitioner Companies has filed Memo dated 28th November, 2017 stating that the certificate of the Chartered Accountant stating that the accounting treatment detailed in the aforesaid Scheme is in compliance with Accounting Standard-14 for Amalgamation as prescribed under Section 133 of the Act read with Rule 7 of the Companies (Account) Rules, 2014 is already furnished in the Company Application filed by the Petitioner Companies.

After hearing the Counsel for the Petitioner Companies and considering the materials on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved,

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company for all the state and interest of the Petitioner/Transferor Company therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding.

The approval of the scheme is subject to the compliance of FEMA and approval of RBI.

The Petitioner will also ensure compliance of their undertaking dated 23rd February, 2018.

The Transferee Company shall pay all the outstanding dues including an arrears of Rs.12,59,370/- plus interest under Section 220 of the Income tax act, 1961 for the assessment year 2011-12 is existing of the Transferor Company with the Income Tax Department.

All the proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company, if any; and

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. 1st April, 2016.

The Transferor Companies or its Authorized Signatories are directed that after the completion of the process of Amalgamation to handover the possession of the Books of Accounts and other relevant documents of the Transferor Companies to the Transferee Company for the purpose of section 239 of the Companies Act, 2013.

The order of this Tribunal shall come into effect, subject to the passing of the order approving the scheme in the matter of mPortal (India) Wireless Solutions Private Limited (Transferor Company No.1) and Transera Communications Private Limited (Transferor Company No.2) with BroadSoft Technologies Private Limited (Transferee Company) by National Company Law Tribunal, Chennai.

Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

6/3/18

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

6-3-18

(RATAKONDA MURALI)
MEMBER, JUDICIAL